

CH – 1 ACCOUNTING BASICS

(A) INTRODUCTION TO BUSINESS AND ACCOUNTING

Home Assignment – 2 [Introduction to Accounting]

1. The main purpose of financial accounting is to:
 - (a) Record all transactions in the books of account.
 - (b) Provide management with detailed analyses of costs.
 - (c) Present the financial results of an organization by mean of financial statements.
 - (d) Calculate profit.
2. Which of the following is least likely to be expected from a book-keeping and accounting system?
 - (a) Systematic recording of transactions
 - (b) Ascertaining profit or loss
 - (c) Ascertainment of financial position
 - (d) Solving tax disputes with tax authorities
3. Which of the following statement(s) are correct?
 - (i) Financial accounting deals with both financial and non financial information.
 - (ii) Main purpose of accounting is to calculate net profit of the business.

Select the most appropriate answer.

- (a) Only (i) is correct
 - (b) Only (ii) is correct
 - (c) Both are correct
 - (d) None are correct
4. Which of the following statement(s) are correct?
 - (i) Book keeping is the process of recording and classifying financial transactions.
 - (ii) Accounting only deals with recording transactions in the book of accounts.

Select the most appropriate answer.

- (a) Only (i) is correct
 - (b) Only (ii) is correct
 - (c) Both are correct
 - (d) None are correct
5. Financial statements prepared through financial accounting primarily benefit:
 - (a) Only government agencies
 - (b) Only company employees
 - (c) External stakeholders
 - (d) Internal management for decision-making
6. Which of the following statement(s) are correct?

- (i) Collection of data is the first step in preparing financial statements.
- (ii) Transactions are recorded in the books of accounts in chronological order.

Select the most appropriate answer.

- (a) Only (i) is correct
- (b) Only (ii) is correct
- (c) Both are correct
- (d) None are correct

7. Which of the following statement(s) are correct?

- (i) Classification is performed after summarizing data in the books of accounts.
- (ii) Interpretation is the last step which is performed in financial accounting.

Select the most appropriate answer.

- (a) Only (i) is correct
- (b) Only (ii) is correct
- (c) Both are correct
- (d) None are correct

8. Which of the following statement(s) are correct?

- (i) Only book keeping system is used to prepare financial statements.
- (ii) Service business can buy and sell goods along with rendering of services to earn profit.

- (a) Only (i) is correct
- (b) Only (ii) is correct
- (c) Both are correct
- (d) None are correct

9. Which of the following statement(s) are correct?

- (i) There is no difference between book keeping and accounting.
- (ii) Accounting is a part of book – keeping system.

Select the most appropriate answer.

- (a) Only (i) is correct
- (b) Only (ii) is correct
- (c) Both are correct
- (d) None are correct

10. Which of the following statement(s) are correct?

- (i) The main purpose of accounting is to provide information only to the owners of the business.
- (ii) No one can demand financial information of the business.

Select the most appropriate answer.

- (a) Only (i) is correct
 - (b) Only (ii) is correct
 - (c) Both are correct
 - (d) None are correct
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